Middle East Oil Security — De-Escalation

Scenario: TR1ME3

> *This is an LLM-based geopolitical simulation, not an account of actual events. The simulation begins with the hypothetical trigger: Iran declares the Strait of Hormuz closed to all commercial shipping, orders its forces to prevent tanker transit, and launches attacks against US naval forces operating in the Gulf. It then evolves through 2 simulation-generated steps involving Iran and US, with each action changing the simulated world and influencing the next response. Numerical values shown in the report are simulation indices, not real-world measurements: each variable is normalised to 100 at the start of the simulation, and subsequent values indicate movement relative to that initial baseline.*

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The scenario moves from severe wartime disruption to a sharper US-Iran confrontation, followed by a limited diplomatic opening. Iran's closure of the Strait of Hormuz and attacks on US naval forces raise US-Iran tension to 115 and intensify regional conflict to 112. The United States then activates an urgent multilateral channel, and Iran responds with a conditional, verifiable de-escalation offer. The principal unresolved issue is whether reciprocal restraint will be implemented sufficiently to reopen the Strait and reduce military and economic pressure.

Key Judgments

- Iran's enforced closure of Hormuz transformed an already severe disruption into a more direct military and energy crisis, while increasing pressure on Iran and strengthening the basis for US-regional coordination.
- US diplomatic activation and Iran's subsequent offer reduced diplomatic blockage, but neither action changed the operational closure, ongoing attacks, sanctions or wider regional fighting.
- The scenario ends with a credible negotiating mechanism but no implemented agreement; the central risk remains failure over reciprocal restraint, sanctions commitments and reopening conditions.

Starting Point

The initial state was defined by an ongoing regional war, severe disruption to oil production and transport, and near-halted traffic through the Strait of Hormuz. Oil prices were already elevated, economic pressure on Iran was severe, and US-Iran tension and regional armed conflict were exceptionally high. Diplomatic channels remained active but stalled, while Iran's institutions continued to function under substantial wartime strain.

Scenario Evolution

E0 — WorldState W1: Iran formally closed the Strait of Hormuz to commercial shipping, ordered its forces to prevent tanker transit, and attacked US naval forces in the Gulf. The action was intended as a direct military and maritime escalation, but its consequences included a further 45-point fall in the Hormuz flow index, a rise in oil prices from 100 to 110, and increases in US-Iran

tension and regional conflict to 115 and 112 respectively. Iran's economic pressure also increased, while domestic stability declined modestly to 96.

E1 — WorldState W2: The United States activated the existing indirect US-Iran channel and pursued an urgent multilateral package involving regional partners. The proposed mechanism linked a temporary halt to attacks and tanker interdiction with reciprocal restraint and negotiations on reopening the Strait. This strengthened diplomatic engagement from 94 to 103 and modestly increased US/regional partner cohesion to 106. However, it produced no operational halt: oil prices, tanker flows, economic pressure, and armed conflict remained unchanged.

E2 — WorldState W3: Iran accepted the indirect channel as the primary mechanism for a time-limited reciprocal arrangement and offered a verifiable suspension of tanker interdiction and attacks on US naval forces. In return, it sought reciprocal military restraint, protection of Iranian forces, sanctions-related commitments and reopening negotiations. The offer strengthened diplomatic engagement to 109, eased US-Iran tension to 106 and modestly improved Iran's domestic stability to 97. Because implementation remained conditional, the Strait stayed closed and no military or economic relief took effect.

Terminal Assessment

The scenario ends with the parties closer to a structured de-escalation process but still in an active confrontation. Compared with W0, US-Iran tension and regional conflict remain elevated, Hormuz oil flow is sharply lower, oil prices are higher, and economic pressure on Iran is greater. Diplomatic engagement and partner cohesion have improved, but the central unresolved issue is whether Iran's offer and the US-led framework can produce reciprocal restraint, sanctions commitments and an actual reopening of the Strait.

WorldState Evolution

All values are simulation indices normalised to 100 at the initial WorldState (W0).

State	Event	Oil	Hormuz	Diplomacy	Econ Pressure	US Partners	Iran Stability	US-Iran	Conflict
W0	Initial	100	100	100	100	100	100	100	100
W1	E0	110	55	94	105	104	96	115	112
W2	E1	110	55	103	105	106	96	111	112
W3	E2	110	55	109	105	106	97	106	111

Event Key

E0 — Iran: Iran declares the Strait of Hormuz closed to all commercial shipping, orders its forces to prevent tanker transit, and launches attacks against US naval forces operating in the Gulf.

E1 — US: Activate the existing indirect US-Iran channel and pursue an urgent multilateral de-escalation package involving regional partners, linking a temporary halt to attacks and tanker interdiction with reciprocal restraint and negotiations on reopening the Strait.

E2 — Iran: Accept the indirect channel as the primary mechanism for a time-limited, reciprocal de-escalation arrangement: offer a verifiable suspension of tanker interdiction and attacks on US naval forces in exchange for reciprocal military restraint, protection of Iranian forces, and concrete commitments to address sanctions and reopening negotiations.

